

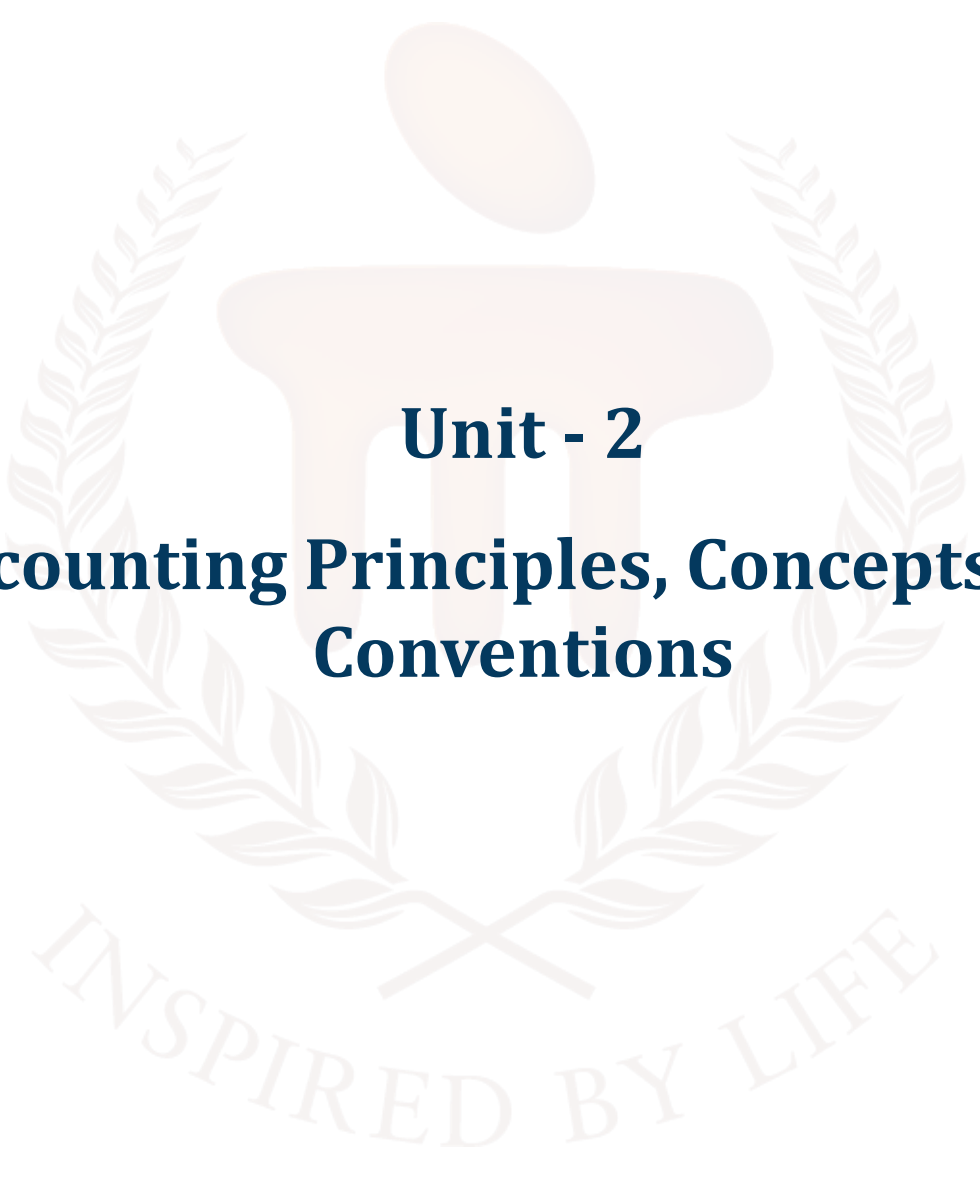
MASTERS OF BUSINESS ADMINISTRATION

SEMESTER 1



DMBA116

FINANCIAL ACCOUNTING



Unit - 2

Accounting Principles, Concepts and Conventions

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1. INTRODUCTION

In the previous unit, you learnt the meaning of bookkeeping, accounting, and accountancy and how to distinguish between them. The objectives of accounting briefed you on the need for accounting. You were acquainted with how various stakeholders use accounting information. You were also introduced to basic terminologies in accountancy.

In order to maintain uniformity and consistency in preparing and maintaining books of accounts, certain rules or principles have been evolved. These rules/principles are classified as concepts and conventions.

A concept refers to an idea, a general notion or thought. Principles refer to a law, the method or a rule of conduct. Accounting principles are evolved overtime through this process of development of concepts to standards to postulates and finally to principles.

Standards are something established for use as a rule, intended to act as a basis of comparison and reference. These are foundations of preparing and maintaining accounting records. In this unit you will learn various accounting concepts, conventions

1.1 Objectives

After studying this unit, you should be able to:

- Define the meaning of accounting principles, concepts, conventions and policy.
- Describe different types of accounting concepts
- Describe different types of accounting principles
- Describe different types of accounting conventions



2. MEANING OF ACCOUNTING CONCEPTS, PRINCIPLES & CONVENTIONS

The main objective of accounting concepts and principles are to maintain uniformity and consistency in accounting records.

Figure 1 illustrates the relationship between accounting principles, concepts and conventions with accounting policy.

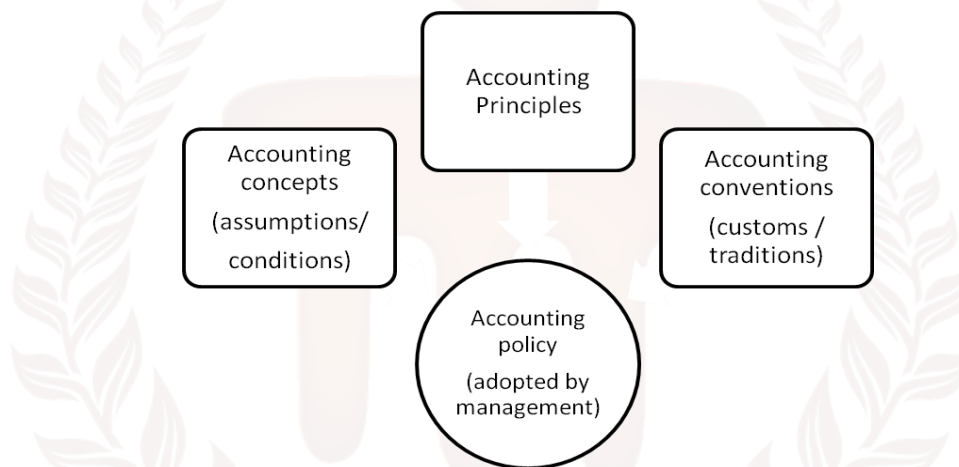


Figure 1: Relationship between Accounting Principles, Concepts, Conventions and Policy

Let us now learn the meaning and various types of accounting concepts, principles and conventions.

Accounting concepts are also self-evident statements or truths. These concepts have been developed over the years from experience and thus they are universally accepted rules. Accounting principles refer to a law, the method or a rule of conduct. Accounting conventions are customs or traditions which are universally followed in recording and presenting accounting information of the business entity. Accounting policy is the one which is adopted by the management relevant to the situations.

SELF-ASSESSMENT QUESTIONS – 1

Multiple Choice Questions:	
1	They have evolved over years and are accepted as universal rules. a) Concepts b) Conventions c) Principles d) Policy
True or False Questions:	
2	Accounting policies are law or rule of conduct.
Fill in the blanks:	
3	Accounting conventions are _____ or _____.



3. TYPES OF ACCOUNTING CONCEPTS

Accounting concept refers to the basic assumptions and rules and principles which work as the basis of recording of business transactions and preparing accounts.

The concepts are important because they:

- (a) helps to explain the 'why' of accounting
- (b) provides guidance when new accounting situations are encountered
- (c) significantly reduce the need to memorize accounting procedures

Some of the important accounting concepts are:

- 1) Business entity concept
- 2) Money measurement concept
- 3) Going concern concept
- 4) Accounting period concept
- 5) Accounting cost concept
- 6) Dual aspect
- 7) Realisation concept
- 8) Accrual concept
- 9) Matching concept

1. Business entity concept

According to this concept the entity is separate and distinct from the person who owns or controls it. The amount of capital invested by the owner and his share in the profit of the business is treated as a liability of the entity.

For example, Manu Florist Company should have a bank account separate from the account of Mrs. Maneesh, the proprietor. Mrs. Maneesh may own a home, a car and other property and she may have personal debts but these are not the resources or debts of Manu Florist Company.

2. Money Measurement Concept

Each transaction and event must be expressible in monetary terms. The advantages of monetary expression are that (a) it provides a simple measuring device to represent many facts in a common denominator and

(b) it is amenable to summarisation. If an event cannot be expressed in monetary terms, it cannot be considered for accounting purposes.

For example, certain qualitative factors that are vital to the health of a firm may not be accounted such as brand image, business networks, and talent of manpower. “They are not affected in the accounting records”

3. Going Concern Concept

According to this concept, it is assumed that the business will exist for a long time. This concept forms the basis for the distinction between expenditure that will yield benefit over a long period of time and expenditure whose benefit will be exhausted in the short-term.

While preparing financial statements, the management makes an assessment of the entity's ability to continue as a going concern. If the result of the assessment reveals significant doubt upon the entity's ability to continue as a going concern, management is required to disclose the fact and the reason why the entity is not regarded as a going concern.

Going concern concept is not valid in the following cases –

- When an enterprise was set up for a particular purpose.
- When the Government declares a company sick.
- When the company has been in the grip of a severe financial crisis and is expected to wind up shortly.
- When a receiver or liquidator has been appointed to wind up the company.

4. Accounting Period Concept

All the transactions are recorded in the books of accounts on the assumption that profits on these transactions are to be ascertained for a specific period. This period, known as the accounting period, is usually the calendar year (January 1 to December 31) or the financial year (April 1 to March 31).

The Companies Act, 1956 has set a maximum limit of 15 months for the accounting period. Normally, accounting period adopted is one year as it helps to take any corrective action, to pay income tax, to absorb seasonal fluctuations and for reporting to the outsiders.

Consistency between accounting periods:

It is necessary for (a) adherence of the accounting standards (b) ensuring comparability of measurement and valuation across the years.

Consistency in accounting policies across accounting periods: According to Generally Accepted Accounting Practices (GAAP) norms, business entity can adopt different accounting policies. For example, an entity can choose FIFO [First in First out] or Weighted Average Method to value its inventory. Suppose in the current year it adopts FIFO method and in the subsequent year it changes to weighted average method it would not only violate concepts of consistency but also lead to distorting the results obtained between accounting periods.

5. Cost Concept

Accounting cost concept states that assets such as land, building, plant and machinery should be recorded in the books of accounts at their purchase price, which includes cost of acquisition, transportation and installation. The cost of the asset is systematically reduced from year to year by charging depreciation on the asset for its usage and wear and tear. The justification for using cost concept is that it can be objectively verifiable.

If nothing is paid to acquire an asset, the same will not be recorded as an asset, e.g., a favourable location. The greatest limitation of historical cost concept is that it may create secret reserves when the cost is written off but the asset is still in good condition. Adopting to International Financial Reporting Statement [IFRS] this concept would give way to present value-based accounting.

6. Dual Aspect Concept

It is the heart of whole accounting process. It is an expression of entity concept because it shows that the business itself owns the assets and in turn owns the various claimants. This is technically stated as 'for every debit, there is a credit'.

Business firms raise funds in any of the following ways –

- Additional capital (*increase in owners' equity*)
- Earning revenue (*increase in owners' equity*)
- Profits (*increase in owners' equity*)
- Additional loans (*increases outside liability*)
- Disposing of assets (*reduces assets*)

*An increase in liabilities (including owners' equity) and
reduction in assets represents **sources of funds.***

These funds can be put to any of the following uses:

- Purchasing of assets (*increase in assets*)
- Cash balances (*increase in assets*)
- Operational expenses (*decrease in owners' equity*)
- Clearing liabilities due (*decrease in liabilities*)
- Losses (*decrease in owners' equity*)

*All increases in assets and decreases in liabilities (including owners' equity) represents the **uses of funds**.*

The sum of the sources of funds equals the sum of the uses of funds. Thus, the dual aspect of accounting means that

“Owner’s Equity + Outside Liability = Assets”.

This can be expressed in two other ways. They are –

$$\begin{aligned} \text{Assets} - \text{Liabilities} &= \\ \text{Assets} - \text{Capital} &= \end{aligned}$$

The above accounting equation states that the assets of a business are always equal to the claims of owner/owners and the outsiders. This claim is also termed as capital or owner’s equity and that of outsiders, as liabilities or creditors’ equity.

Figure 2 Illustrates the dual aspects of every transaction in accounting

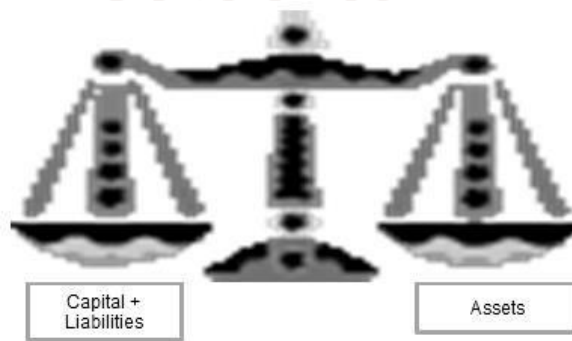


Figure 2: Dual Aspect Concept

The interpretation of the Dual aspect concept is that every transaction has an equal effect on assets and liabilities in such a way that total assets are always equal to total liabilities of the business.

Let's illustrate the **dual aspect of accounting** with an example.

Example:

A business purchases furniture worth ₹50,000 and pays cash.

Debit: The "Furniture" account increases because the business has acquired new furniture (an asset).

Credit: The "Cash" account decreases because the payment was made in cash (another asset decreases).

7. Realisation Concept

The realization principle is the concept that revenue can only be recognized once the underlying goods or services associated with the revenue have been delivered or rendered, respectively. Thus, revenue can only be recognized after it has been earned. Selling goods is realisation, receiving order is not. In other words, it can be said that: Revenue is said to have been realised when cash has been received or right to receive cash on the sale of goods or services or both has been created.

For example, Karuna Printers received an order worth Rs. 5,00,000. They supplied goods worth Rs. 2,00,000 up to the year ending 31st December 2005 and rest were supplied in January 2006. Now, let us analyse the above examples to ascertain the correct amount of revenue realised for the year ending 31st December 2005. The revenue for the year 2005 for Karuna Printers is Rs. 2,00,000. Mere getting an order is not considered as revenue until the goods have been delivered.

8. Accrual Concept

Accrual concept suggests that incomes and expenses should be recognized as they are earned and incurred, irrespective of whether the money is received or paid in connection thereof. This concept makes a distinction between the accrual receipt of cash and the right to receive cash as regards revenue and actual payment of cash and the obligation to pay cash as regards expenses.

In fact, the Companies Act, 2013 provides that the accrual concept has to be maintained for practically all accounting purposes. The alternative to the accrual basis of accounting is called

the cash basis of accounting. The law in India provides that in cases where the accrual concept cannot be followed under any circumstances, the cash basis may be followed.

Examples of accrual concept:

- (i) Rent paid for fifteen months in advance on 1st January 2004. The business follows calendar year as the accounting year. In this case rent for only the first twelve months should be recognised as expenses for the year 2004.
- (ii) Credit sales for the year 2004 were Rs. 2,00,000. Cash collected from customer during 2004 was Rs.1,50,000. In this case, credit sales for 2004 should be considered as Rs. 2,00,000 and not Rs.1,50,000.

This concept has given sound accounting principle with respect to recognition of revenues and expenses. It implies that “revenues accrue in that year in which they are earned and not in the year in which they are actually received and expenses accrue in the year in which they are incurred and not in the year in which they are actually paid.

9. Matching Concept

The matching concept states that the revenue and the expenses incurred to earn the revenues must belong to the same accounting period. The determination of profit of a particular accounting period is essentially a process of matching the revenue recognized during the period and the cost to be allocated to the period to obtain the revenue.

Revenue earned in an accounting year is offset (matched) with all the expenses incurred during the same period to generate that revenue, thus providing a measure of the overall profitability of the economic activity. Costs are reported as expenses. But some of the expenses are not readily identifiable with a particular period like preliminary expenses, advertisement expenses, exact amount of depreciation, etc., because they cannot be traced to particular goods or services.

Therefore, the matching concept implies that all revenues earned during an accounting year, whether received/not received during that year and all cost incurred, whether paid/not paid during the year should be taken into account while ascertaining profit or loss for that year.

SELF-ASSESSMENT QUESTIONS – 2

Multiple Choice Questions:	
4	Accounting concept helps to explain _____ of accounting. a) What b) Why c) How
5	Which concepts form the basis for distinction between expenditure of short term and long term? a) Going concern b) Money measurement c) Business entity
True or False Questions:	
6	The Companies Act 1956 has set a maximum limit of 15 months for the accounting period.
7	An increase in liability (including owner's equity) and reduction in assets represent uses of funds.
Fill in the blanks:	
8	Earning revenue leads to _____ in owner's equity.
9	The alternative of accrual basis of accounting is _____.
Name the concept for the following applications:	
10	Classification of assets as current asset, fixed assets and fictitious assets
11	Assets – Liabilities = Capital
12	Insurance premium paid in advance
13	Indian Air Force has placed order for 126 fighter jets to be procured by 2015

4. TYPES OF ACCOUNTING PRINCIPLES

Accounting principles are essentially general guidelines to follow when recording and reporting accounting transactions. They provide some structure to the accounting process. "Accounting Principles are those rules of actions on the basis of which the transactions of the business are recorded, classified and summarised. "Accounting principles are essentially general guidelines to follow when recording and reporting accounting transactions. They provide some structure to the accounting process. If the financial statements are not prepared on the basis of these principles, there will be low acceptability and difficulty in understanding them, and the comparison will be impossible as well as unreliable.

Characteristics of Accounting Principles:

Accounting principles are the results of experience, business practices and customs, ideas and beliefs of users of financial statements, government agencies, stock exchange authorities, etc. Accounting principles are manmade, so they do not have the authoritativeness as universal principle.

The general acceptance of an accounting principle usually depends upon three criteria – relevance, objectivity and feasibility.

A principle is relevant to the extent it results in information that is meaningful and useful to the users of the accounting information. A principle is objective to the extent the accounting information is not influenced by personal bias or judgment of those who provide it. A principle is feasible to the extent it can be implemented without much complexity or cost.

Figure 3 depicts the three criteria of Accounting Principles

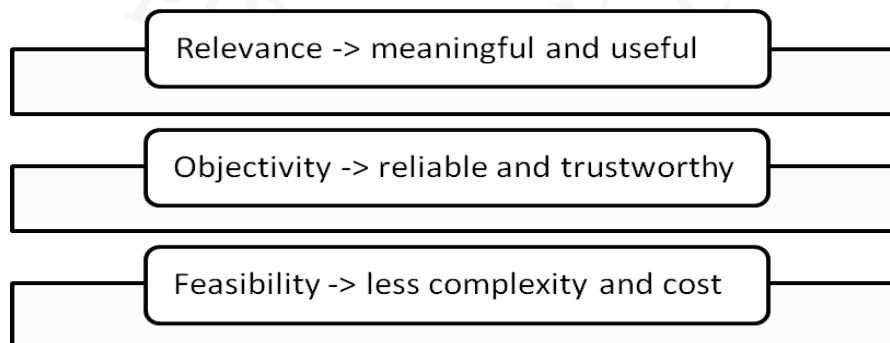


Figure 3: Three Criteria of Accounting Principles

The conventions, concepts, rules and procedures that together make up accepted accounting practice at any given time are called Generally Accepted Accounting Principles (GAAP). Accounting principles become generally accepted by agreement, experience, custom, usage and practical necessity. In India, Accounting Standards Board (ASB); Institute of Chartered Accountants of India (ICAI), Department of Company Affairs, SEBI, ICWA, ICS, Stock Exchanges are instrumental in the development of accounting principles.

SELF-ASSESSMENT QUESTIONS – 3

Multiple Choice Questions:	
14	'Relevance' relates to: a) Giving meaningful information b) not influenced by personal bias c) implementing without much complexity or cost.
Fill in the blanks:	
15	Expand GAAP _____.

5. TYPES OF ACCOUNTING CONVENTIONS

An accounting convention refers to common practices which are universally followed in recording and presenting accounting information of the business entity. They are followed like customs, tradition, etc., in a society. Accounting Conventions are evolved through the regular and consistent practice over the years to facilitate uniform recording in the books of accounts. Accounting Conventions help in comparing accounting data of different business units or of the same unit for different periods. These have been developed over the years. The most important conventions which have been used for a long period are - Convention of consistency, convention of full disclosure, convention of materiality and convention of conservatism.

Figure 4 depicts the types of Accounting Conventions.

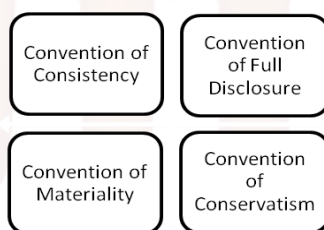


Figure 4: Types of Accounting Conventions

1. Convention of consistency

The convention of consistency means that same accounting principles should be used for preparing financial statements year after year. A meaningful conclusion can be drawn from financial statements of the same enterprise when there is comparison between them over a period of time. But this can be possible only when accounting policies and practices followed by the enterprise are uniform and consistent over a period of time.

If different accounting procedures and practices are used for preparing financial statements of different years, then the result will not be comparable. Also when accounting policies are changed companies are required to disclose this fact and explain the impact of any change, otherwise they are not comparable.

Consistency also implies –

- 1) External consistency – The financial statements of one enterprise should be comparable with another.

- 2) Vertical consistency – The same accounting rules, policies, practices and conventions are adopted while preparing interrelated statements of the same date.
- 3) Horizontal consistency – The same accounting rules, policies, practices and conventions are adopted from year to year.
- 4) Third dimensional consistency – All units in the same industry follow the same accounting policies, methods and practices.

It should be noted that the convention of consistency does not mean that the accounting treatment of various categories of assets should be consistent with one another. Moreover it does not mean that the accounting practices and methods, once adopted should not be changed. The accounting practices and methods can be changed when needed but the same thing should be clearly disclosed and adequately explained.

2. Convention of full disclosure

Convention of full disclosure requires that all the material and relevant facts concerning financial statements should be fully disclosed. Full disclosure means that there should be full, fair and adequate disclosure of accounting information. Adequate means sufficient set of information to be disclosed. Fair indicates an equitable treatment of users. Full refers to complete and detailed presentation of information. Thus, the convention of full disclosure suggests that every financial statement should fully disclose all relevant information.

3. Convention of materiality

The convention of materiality states that, to make financial statements meaningful, only material facts important and relevant information should be supplied to the users of accounting information. The selection of appropriate information to be disclosed is largely a matter of judgment. The materiality depends not only upon the amount of item but also upon the size of business, level and nature of information and the level of person who makes the judgement about materiality.

This principle is an exception to Convention of full disclosure which states that all facts necessary to ensure that the financial statements are not misleading must be disclosed.

4. Convention of conservatism

It is a policy of caution or playing safe and had its origin as a safeguard against possible losses in a world of uncertainty. The working principle is “**anticipates no profit, but provide for all**

possible losses". It provides guidance for recording transactions in the books of accounts. It is based on the policy of playing safe with regard to showing profit. The main objective of this convention is to show minimum profit. Profit should not be overstated. If profit shows more than actual, it may lead to distribution of dividend out of capital. This is not a fair policy and it will lead to the reduction in the capital of the enterprise.

SELF-ASSESSMENT QUESTIONS – 4

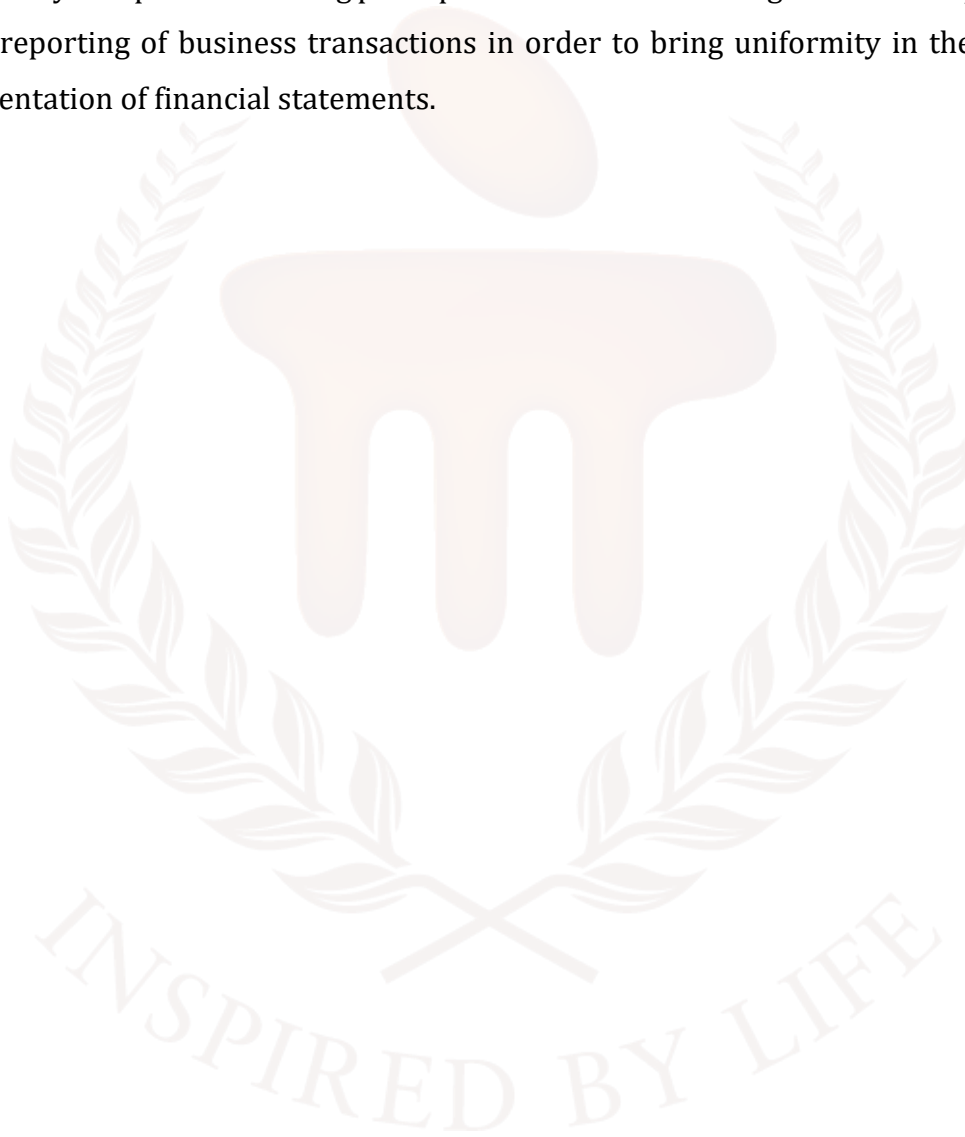
Fill in the blanks:	
16	_____ means that same accounting principles should be used for preparing financial statements year after year.
17	The convention of full disclosure requires that there should be full, _____ and _____ disclosure of accounting information.
18	Convention of Materiality is an exception to Convention of _____ .
Multiple Choice Questions:	
19	If all units in the same industry follow same accounting policies it is termed as _____ consistency. Choose the right choice - a) Vertical b) Horizontal c) Three dimensional
Give your decision in the following situations:	
20	A business has unsold stock at the end of the year. The cost price is Rs. 200000 and the market price is Rs. 250000. At which price the unsold stock is recorded?
21	What will be your decision if the cost price in the above case is Rs. 210000?

6. SUMMARY

Let's now recall the important points of the unit discussed.

- Accounting concept refers to the basic assumptions which serve the basis of recording actual business transactions.
- The important accounting concepts are business entity, money measurement, going concern, accounting period, cost concept, duality aspect concept, realisation concept, accrual concept, and matching concept.
- Business entity concept asserts that for accounting purposes, the business enterprise and its owner(s) are two separate entities.
- Money measurement concept assumes that all business transactions must be recorded in the books of accounts in terms of money.
- Going concern concept states that a business firm will continue to carry on activities for an indefinite period of time.
- Accounting period concept states that all the business transactions are recorded in the books of accounts on the assumption that profits of transactions are to be ascertained for a specified time period.
- Accounting cost concept states that all assets are recorded in the books of accounts at their cost price.
- Dual aspect concept states that every transaction has a dual effect.
- Realisation concept states that revenue from any business transaction should be included in the accounting records only when it is realised.
- Matching concept states that the revenue and the expenses incurred to earn the revenue must belong to the same accounting period.
- Accounting conventions are common practices which are followed in recording and presenting accounting information of business.
- Convention of consistency states that the same accounting methods should be adopted every year in preparing financial statements.
- Convention of disclosure states that all material and relevant facts relating to financial statements should be fully disclosed.

- Convention of materiality states that, to make financial statements more meaningful only significant information should be shown in the financial statements.
- Convention of conservatism states that, profit should not be recorded until it is realised. But if business anticipates any loss in near future provision should be made in the books of account.
- Generally accepted accounting principles refer to the rules or guidelines adopted for recording and reporting of business transactions in order to bring uniformity in the preparation and presentation of financial statements.



7. GLOSSARY

Accounting concepts	Accounting concepts are also self-evident statements or truths. These - concepts have been developed over the years from experience and thus they are universally accepted rules.
Accounting principles	- These refer to a law, the method or a rule of conduct.
Accounting conventions	- They are customs or traditions which are universally followed in recording and presenting accounting information of the business entity.
Accounting policy	- It is one which is adopted by the management relevant to the situations.
Accounting standards	- It provides uniform practices and common techniques of accounting.

8. TERMINAL QUESTIONS

1. Define accounting concept and explain different types of accounting concepts.
2. What is accounting principle? What is the relevance of it?
3. Explain different types of accounting conventions.
4. What do you mean by accounting standards? Enumerate the accounting standard issued by the ASB from time to time.
5. Write short notes on IFRS.



9. ANSWERS

Self-Assessment Questions

1. (a) Concepts
2. False
3. Customs, traditions
4. (b) why
5. (a) going concern
6. True
7. False
8. Increase
9. cash basis of accounting
10. going concern concept
11. Dual Aspect concept
12. Accrual concept
13. Realization concept
14. (a) Giving meaningful information
15. Generally Accepted Accounting Practices
16. Convention of consistency
17. Fair and adequate disclosure
18. Full disclosure
19. (c) Three dimensional
20. Cost price
21. Cost price

Terminal Questions Answers

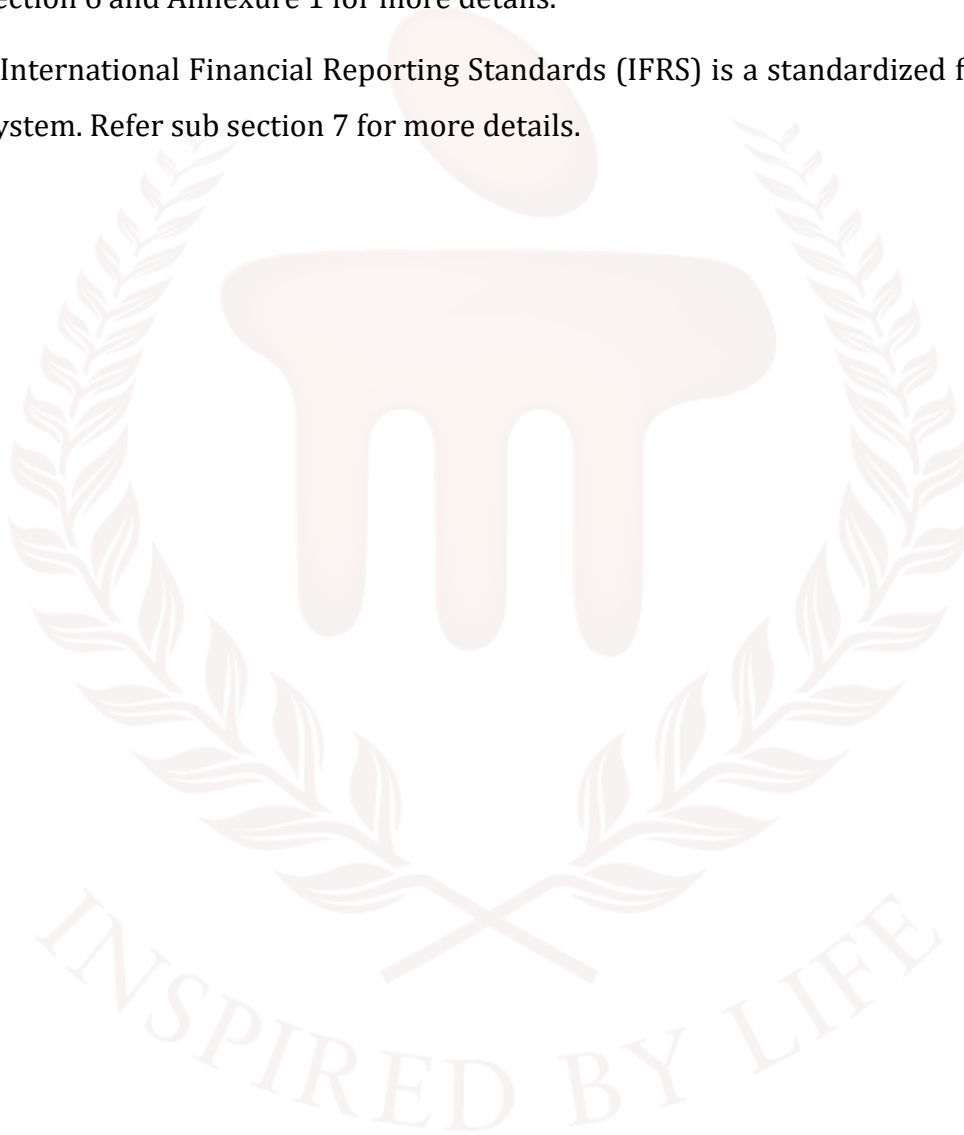
Answer 1: Accounting concept refers to the basic assumptions and rules and principles which work as the basis of recording of business transactions and preparing accounts. Refer subsection 3 for more details.

Answer 2: Accounting Principles are those rules of actions on the basis of which the transactions of the business are recorded, classified and summarized. Refer sub section 4 for more details.

Answer 3: The four types of accounting conventions are (1) convention of consistency (2) convention of full disclosure (3) convention of materiality (4) convention of conservatism. Refer sub section 5 for more details.

Answer 4: Accounting standard provides uniform practices and common techniques of accounting. Refer sub section 6 and Annexure 1 for more details.

Answer 5: International Financial Reporting Standards (IFRS) is a standardized format of financial reporting system. Refer sub section 7 for more details.



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